

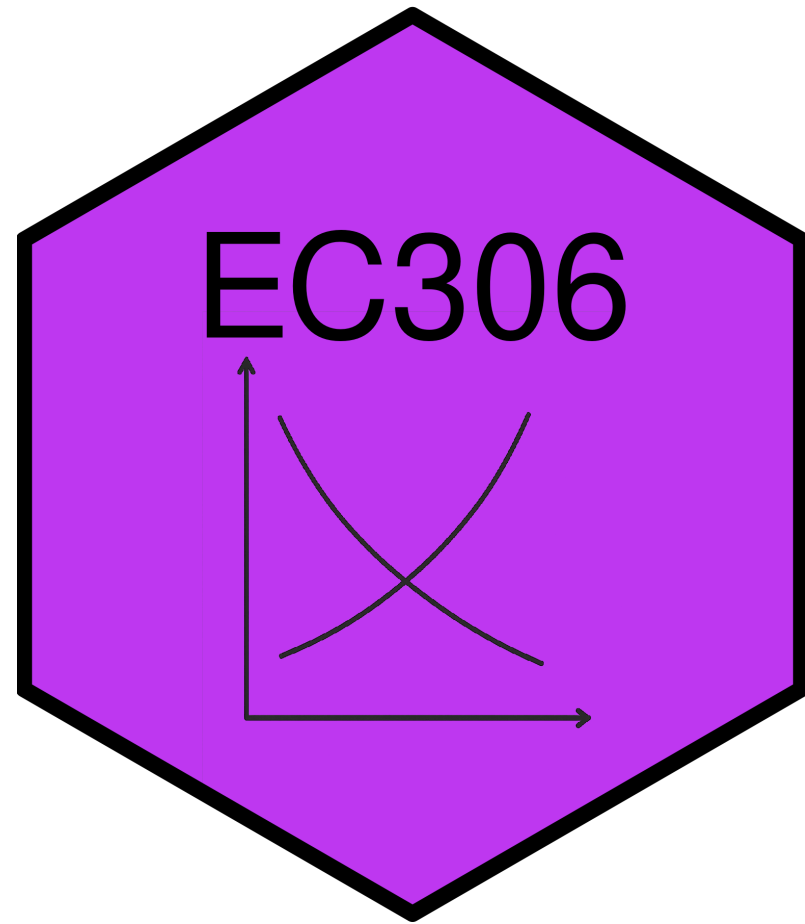
Labour Supply 2 In-Class Questions

EC306- Wages and Employment

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BGLRS Chapter 3 Review Question 3

Use the work-leisure choice diagram to illustrate the following cases where an individual is

a) Unwilling to go on welfare because the welfare payment is too low

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b) Indifferent between welfare and work

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c) Induced to move off welfare because of an increase in wages

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d) Induced to move off welfare because of a change in preferences between income and leisure

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e) Induced to move off welfare by a reduction of the 100 percent implicit tax on earnings

BGLRS Chapter 3 Problem 7

The different programs discussed in this chapter often have ambiguous effects on work effort. It is, nonetheless, possible to compare the work incentives of two programs by looking at what happens when the individual is indifferent between two programs. Use this approach to compare the work incentives of the following two pairs of programs. In both cases use graphs to show the hours of work chosen under the two programs by an individual who is indifferent between them:

a) EITC compared to welfare

BGLRS Chapter 3 Problem 7

b) Wage subsidy compared to a negative income tax